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CASE #	CASE NAME	HEARING NAME
CVRI2406338	CHRISTENSEN vs FCA US, LLC.	MOTION FOR SUMMARY JUDGMENT ON COMPLAINT FOR BREACH OF CONTRACT/ WARRANTY

Tentative Ruling: GRANTED.

Factual/Procedural Context

This is a lemon law action. On September 30, 2018, Plaintiff Paul Christensen (“Plaintiff”) purchased a 2018 Jeep Wrangler (“Vehicle”) from Defendant Moss Bros. Auto Group, Inc. dba Moss Bros. Chrysler Dodge Jeep Ram Riverside (“Moss”), a dealership authorized by Defendant FCA US, LLC (“FCA”). (Def.’s Separate Statement of Undisputed Material Facts [“DSS”] ¶ 1.) The Vehicle came with FCA’s 3-year/36,000-mile Basic Limited Warranty and 5-year/60,000-mile Powertrain Limited Warranty. (*Id.* at ¶ 2.) The implied warranty expired September 30, 2019; the Basic Limited Warranty expired September 30, 2021; and the Powertrain Limited Warranty expired September 30, 2023. (*Id.* at ¶¶ 3–4.)

Between 2018 and 2023, during the Powertrain Warranty period, Plaintiff brought the Vehicle to an FCA authorized dealership on five occasions: February 21, 2020, December 5, 2020, January 12, 2022, January 22, 2022, and January 26, 2023. (*Id.* at ¶ 5.)

- On February 21, 2020, Plaintiff presented the Vehicle for maintenance, a recall concern, and overheating. (*Id.* at ¶ 6.) The dealership verified overheating and replaced the water pump and coolant under warranty. (*Id.* at ¶ 7.)
- On December 5, 2020, Plaintiff presented the Vehicle for regular maintenance, which was performed. (*Id.* at ¶ 8.)
- On January 12, 2022, Plaintiff presented the Vehicle for hybrid system codes, a steering issue, and battery failure, which the dealership resolved with a goodwill battery replacement. (*Id.* at ¶¶ 9–10.)
- On January 22, 2022, Plaintiff presented the Vehicle for regular maintenance, which was performed. (*Id.* at ¶ 11.)
- On January 26, 2023, Plaintiff presented for a check-engine light and the Vehicle not starting or shifting into gear, which the dealership attributed to an aftermarket device and low battery voltage codes that resolved with a battery replacement paid for by Plaintiff. (*Id.* at ¶¶ 12–13.)

FCA contends that the Vehicle was out of service more than one day only on February 21, 2020 and January 26, 2023 visits, totaling six and five days, respectively. (*Id.* at ¶ 14.) FCA argues that Plaintiff never presented the Vehicle for repair for the alleged Engine Defect and related issues, including loss of power, stalling, rough engine operation, engine misfires, loss of vehicle control, and vehicle fire risk, except at the

February 21, 2020 visit, when the water pump was replaced as part of a cooling system repair. (*Id.* at ¶¶ 16, 18; Compl. ¶¶ 19–20.)

Plaintiff disputes both, contending that the overheating and loss of power condition first identified on February 21, 2020 was never permanently repaired and recurred on May 1, 2024, when the engine overheated while driving and had to be towed to an FCA authorized facility, where teardown revealed a blocked cylinder head, scored cylinder walls, and abnormal piston movement, resulting in a long-block replacement and approximately 58 days out of service. (Pl.’s Response ¶¶ 14, 18.) Plaintiff contends that he presented the Vehicle for symptoms within the scope of the alleged Engine Defect (*i.e.*, loss of power, stalling, and no-start) on January 12, 2022, January 26, 2023, and again on February 19, 2024, at approximately 42,270 miles, for an intermittent no-start condition, a check-engine light, and a melting positive battery terminal, which the dealership again resolved by testing and replacing the battery. (*Id.* at ¶¶ 18–20; Christensen Decl. ¶ 12.)

Plaintiff further alleges that before purchase, he researched the Vehicle on FCA’s website and was told by the dealership representative that the Vehicle and its engine and transmission were reliable, and FCA did not disclose that the model was known to suffer from engine issues. (Pl.’s Additional Material Facts [“PAMF”] ¶¶ 1–2.) NHTSA Recall No. 18V-524, submitted by FCA on August 9, 2018, approximately seven weeks before Plaintiff’s purchase, covered 2018 Jeep Wranglers equipped with the same 2.0L engine as the Vehicle, based on a Powertrain Control Module (“PCM”) defect capable of causing no-start, immediate stall, or stall while driving with loss of motive power. (*Id.* at ¶ 4.) FCA’s own chronology reflects awareness of powertrain controller failures as early as June 8, 2018, with owner notifications not planned to begin until on or about September 28, 2018, two days before Plaintiff’s purchase. (*Id.* at ¶ 5.) Plaintiff contends the recurring engine and battery problems substantially impaired the use, value, and safety of the Vehicle, and that some or all of these issues existed within the first year of ownership. (*Id.* at ¶¶ 8–9.)

On November 12, 2024, Plaintiff filed his Complaint against FCA and Moss, asserting six causes of action: (1) violation of Civ. Code § 1793.2(d) against FCA; (2) violation of section 1793.2(b) against FCA; (3) violation of section 1793.2(a)(3) against FCA; (4) breach of implied warranty of merchantability against FCA; (5) negligent repair against Moss; and (6) fraudulent inducement – concealment against FCA.

FCA moves for summary judgment, or in the alternative summary adjudication, of the first through fourth causes of action under the Song-Beverly Act and the sixth cause of action for fraudulent inducement – concealment. FCA argues that the Song-Beverly claims fail because Plaintiff presented the Vehicle for the alleged Engine Defect only once during warranty, and it was never out of service 30 cumulative warranty days or unfit for ordinary use in the one-year implied warranty period. FCA further argues that the fraud claim is barred by the economic loss rule because Plaintiff seeks only warranty type economic damages. Moreover, FCA asserts that every claim is time-barred, as Plaintiff bought the Vehicle on September 30, 2018, but did not sue until November 12, 2024, past the four-year period under Commercial Code § 2725 and the three-year period under CCP § 338(d).

In opposition, Plaintiff argues that triable issues preclude summary judgment because he presented the Vehicle multiple times during warranty for recurring problems, culminating in a 58-day engine long-block rebuild in May and June 2024 after earlier repairs failed. Plaintiff contends that presentation under Civ. Code § 1793.2(d) is measured against the Vehicle as a whole, and implied warranty liability turns on latent defects existing in year one rather than repair visits within it. On fraud, Plaintiff asserts that the NHTSA recall and FCA's internal dealer instructions show FCA knew of a 2.0L engine and PCM defect weeks before purchase, and that presale concealment claims are not barred. Plaintiff also argues that delayed discovery makes the action timely because he did not reasonably recognize FCA's failure to permanently repair until the May 2024 failure.

In reply, FCA responds that Plaintiff relies on a post-warranty 2024 repair, lay speculation tying it to the 2020 water pump work, and a recall about a different component, none of which raises a triable issue. According to FCA, Plaintiff was on inquiry notice years before May 2024 based on his own reports of February 2020 overheating and power loss, and the discovery rule runs from suspicion of wrongdoing, not later expensive failure. The warranty period record shows only one presentation of the alleged Engine Defect, with no expert linking separately diagnosed battery and electrical events to the 2024 engine findings. FCA further asserts that the NHTSA recall concerns a different defect from the conditions alleged in this case, and Plaintiff never shows this Vehicle was among those covered by the recall.

Analysis

1. Legal Standard

The purpose of a motion for summary judgment "is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 843.) CCP § 437c(c) "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (*Adler v. Manor Healthcare Corp.* (1992) 7 Cal.App.4th 1110, 1119.)

"In ruling on the motion, the court must consider all of the evidence and all of the inferences reasonably drawn therefrom [citation] and must view such evidence [citations] and such inferences [citations] in the light most favorable to the opposing party." (*Aguilar, supra*, 25 Cal.4th at 844–45 [internal quotation marks omitted].)

"[T]he party moving for summary judgment bears an initial burden of production to make a prima facie showing of the nonexistence of any triable issue of material fact; if he carries his burden of production, he causes a shift, and the opposing party is then subjected to a burden of production of his own to make a prima facie showing of the existence of a triable issue of material fact." (*Leyva v. Garcia* (2018) 20 Cal.App.5th 1095, 1101.)

To establish a triable issue of material fact, the party opposing the motion must produce "substantial responsive evidence." (*Sangster v. Paetkau* (1998) 68 Cal.App.4th

151, 166.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (*Dore v. Arnold Worldwide, Inc.* (2006) 39 Cal.4th 384, 389.)

2. Song-Beverly Act Claims (First through Fourth Causes of Action)

FCA moves for summary judgment, or in the alternative, summary adjudication, on Plaintiff’s first (violation of Civ. Code § 1793.2(d)), second (violation of Civ. Code § 1793.2(b)), third (violation of Civ. Code § 1793.2(a)(3)), and fourth (breach of the implied warranty of merchantability) causes of action under the Song-Beverly Act.

a. Song-Beverly Framework

The Song-Beverly Act affords significant protections to consumers who purchase products covered by an express warranty. “One of the most significant protections afforded by the act is found at section 1793.2, subdivision (d).” (*Robertson v. Fleetwood Travel Trailers of Cal., Inc.* (2006) 144 Cal.App.4th 785, 798.) Civ. Code § 1793.2(d) provides that “‘if the manufacturer or its representative in this state does not service or repair the goods to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either replace the goods or reimburse the buyer in an amount equal to the purchase price paid by the buyer[.]’” (*Id.* [quoting Civ. Code § 1793.2(d)(1)].)

“A plaintiff pursuing an action under the Song-Beverly Act has the burden to prove the following elements: (1) the product had a defect or nonconformity covered by the express warranty; (2) the product was presented to an authorized representative of the manufacturer for repair; and (3) the manufacturer or its representative did not repair the defect or nonconformity after a reasonable number of repair attempts.” (*Robertson, supra*, 144 Cal.App.4th at 798–99.)

“The reasonableness of the number of repair attempts is a question of fact to be determined in light of the circumstances, but at a minimum there must be more than one opportunity to fix the nonconformity.” (*Id.* at 799 [citing *Silvio v. Ford Motor Co.* (2003) 109 Cal.App.4th 1205, 1208–09].) As the Court of Appeal held in *Silvio*: “The statute requires the manufacturer afford the specified remedies of restitution or replacement if that manufacturer is unable to repair the vehicle ‘after a reasonable number of attempts.’ ‘Attempts’ is plural.” (*Silvio, supra*, 109 Cal.App.4th at 1208.) “A single attempt does not meet the statutory threshold.” (*Id.* at 1209.) “Each occasion that an opportunity for repairs is provided counts as an attempt, even if no repairs are actually undertaken.” (*Robertson, supra*, 144 Cal.App.4th at 799.) “‘Whether or not the manufacturer’s agents choose to take advantage of the opportunity, or are unable despite that opportunity to isolate and make an effort to repair the problem, are matters for which the consumer is not responsible.’” (*Id.* [internal quotation omitted].) “[F]or purposes of calculating the number of repair attempts, no distinction is made between the manufacturer and its authorized repair facility. They are treated as a single entity, and their repair efforts are aggregated.” (*Id.*)

b. First Cause of Action – Violation of Civ. Code § 1793.2(d)

Plaintiff’s first cause of action alleges that FCA was unable to repair the Vehicle to conform to the applicable express warranties after a reasonable number of attempts,

triggering the manufacturer's obligation to replace or make restitution under Civ. Code § 1793.2(d). (Compl. ¶¶ 25–30.) Plaintiff contends that the February 2020 overheating repair, the January 2022 hybrid-system and no-start visit, the January 2023 no-start and check-engine visit, and the May 2024 catastrophic engine failure are all presentations of the same underlying Engine Defect—overheating, loss of power, stalling, and no-start—and that FCA's failure to permanently repair those symptoms triggers the statutory duty.

Civ. Code § 1793.2(d)(2) requires that the manufacturer be “unable to service or repair a new motor vehicle . . . to conform to the applicable express warranties after a reasonable number of attempts” before the duty to replace or make restitution attaches. (Civ. Code § 1793.2(d)(2); see *Donlen v. Ford Motor Co.* (2013) 217 Cal.App.4th 138, 148.) Under *Silvio*, “[a]ttempts’ is plural,” and “[a] single attempt does not meet the statutory threshold.” (*Silvio, supra*, 109 Cal.App.4th at 1208–09.) A post-warranty repair, no matter how extensive, does not itself supply an additional warranty period attempt; it may be admissible, if at all, only as circumstantial evidence that a nonconformity presented during the warranty period was not in fact repaired to conform to the warranty while the warranty was in existence. (*Donlen, supra*, 217 Cal.App.4th at 149.) The manufacturer's repurchase obligation does not attach anew based on a post-warranty failure that is not tied to an unresolved nonconformity during the warranty period. (*Id.*)

The undisputed evidence shows that between 2018 and September 30, 2023—the Powertrain Warranty period—Plaintiff presented the Vehicle to an FCA-authorized dealership five times. (DSS ¶ 5.) On February 21, 2020, at 13,352 miles, Plaintiff presented for maintenance, a recall concern, and overheating; the dealership verified overheating, diagnosed a leaking water pump, and replaced the water pump and coolant under warranty. (DSS ¶¶ 6–7; Christensen Decl. ¶ 9; Wang Decl. ¶ 6, Ex. G.) The December 5, 2020 and January 22, 2022 visits were for routine maintenance only. (DSS ¶¶ 8, 11.) On January 12, 2022, at approximately 32,201 miles, Plaintiff presented for multiple hybrid-system trouble codes, a steering issue, and battery failure; the dealership tested the charging system, found the battery had failed, and replaced it as a goodwill repair. (DSS ¶¶ 9–10; Christensen Decl. ¶ 10.) On January 26, 2023, at approximately 37,952 miles, Plaintiff presented for a check-engine light and no-start; the dealership attributed the concern to an aftermarket device and low battery-voltage codes and replaced the battery, which Plaintiff paid for. (DSS ¶¶ 12–13; Christensen Decl. ¶ 11.)

Plaintiff contends that the January 2022, January 2023, and February 2024 no-start and battery-related events fall within the pleaded Engine Defect and should be counted as additional presentations. (Pl.'s Response ¶¶ 18–20; Christensen Decl. ¶¶ 10–12.) The problem with Plaintiff's theory is one of proof. The repair records diagnose each of those visits as failed batteries, low battery-voltage codes, or aftermarket-device interference, separate electrical events with distinct diagnostic findings. (DSS ¶¶ 10, 13.) Whether a shared symptom such as no-start or loss of power reflects a shared underlying mechanical or electronic cause is a technical question of mechanical causation that lies outside the common knowledge of laymen and requires competent expert opinion evidence. (*Miller v. Los Angeles Cnty. Flood Control Dist.* (1973) 8 Cal.3d 689, 702 [“If the matter in issue is one within the knowledge of experts only and not within the common knowledge of laymen, it is necessary for the plaintiff to introduce expert opinion evidence in order to establish a prima facie case.”].) Common symptoms do not establish a

common cause. A no-start condition may result from numerous causes, such as a failed battery, a defective starter, a faulty alternator, a failed PCM, or any number of electrical or mechanical faults. Plaintiff offers no expert opinion, no diagnostic testimony, and no technical analysis linking the separately diagnosed battery and electrical failures to the February 2020 overheating condition or to the pleaded Engine Defect. Lay speculation of that kind is legally insufficient at summary judgment. (*Buehler v. Alpha Beta Co.* (1990) 224 Cal.App.3d 729, 733–734 [opposition based on “conjecture and speculation” is “legally insufficient to defeat a summary judgment”].)

Plaintiff’s reliance on the May 1, 2024 catastrophic engine failure fares no better. The May 2024 event resulted in extensive internal engine damage, including a blocked cylinder head, scored cylinder walls, and abnormal piston movement, and required a long-block replacement with the Vehicle out of service for approximately 58 days. (Christensen Decl. ¶ 13; PAMF ¶ 6.) But it occurred more than seven months after the Powertrain Warranty expired on September 30, 2023, and long after the Basic Warranty expired on September 30, 2021. (DSS ¶ 4; Pl.’s Response ¶ 4.) A post-warranty repair, no matter how severe, cannot itself constitute an in-warranty repair attempt under section 1793.2(d)(2). While *Donlen* permits post-warranty repair evidence to be used as circumstantial proof that a warranty period nonconformity was never repaired to conform, that use requires competent evidence tying the post-warranty repair to a warranty period defect. (*Donlen*, *supra*, 217 Cal.App.4th at 149.) Plaintiff offers no such evidence: no expert opinion, no diagnostic finding, and no technical analysis connecting the 2024 cylinder-head and piston findings back to the 2020 water pump repair.

Plaintiff’s reference to NHTSA Recall No. 18V-524 does not fill the evidentiary gap. The recall concerns a voltage-regulator chip in the PCM that could cause a no-start condition, an immediate stall, or a stall while driving. (Fuchs Decl. ¶ 7, Ex. 1; PAMF ¶ 4.) The May 2024 teardown findings are mechanical conditions—blockage, scoring, and piston movement consistent with overheating—distinct from an electronic PCM failure. (Christensen Decl. ¶ 13; PAMF ¶ 6.) Moreover, the record affirmatively shows the Vehicle was built on August 26, 2018, approximately two months after the June 27, 2018 close of the recall production window identified in Recall No. 18V-524. (Sheridan Decl. ¶ 9, Ex. F.) Plaintiff presents no evidence that the Vehicle was otherwise within the recall population, that it was subject to the August 16, 2018 stop-sale, that it remained unremedied at the time of delivery on September 30, 2018, or that it ever manifested the PCM defect described in the recall.

Even viewing the record in the light most favorable to Plaintiff, only one warranty period repair attempt—*i.e.*, the February 21, 2020 water pump repair—is competently connected to the pleaded Engine Defect. Under *Silvio*, a single attempt does not meet the statutory threshold. (*Silvio*, *supra*, 109 Cal.App.4th at 1209.) The Court GRANTS summary adjudication on the first cause of action.

c. Second Cause of Action – Violation of Civ. Code § 1793.2(b)

Plaintiff’s second cause of action alleges that FCA failed to commence and complete repairs to conform the Vehicle to the express warranties within 30 days as required by Civ. Code § 1793.2(b). (Compl. ¶¶ 32–37.)

Section 1793.2(b) requires the manufacturer to service or repair the goods “so as to conform to the applicable warranties within 30 days.” (Civ. Code § 1793.2(b); see *Martinez v. Kia Motors Am., Inc.* (2011) 193 Cal.App.4th 187, 193 [“If the goods do not conform to the applicable express warranties, they must generally be serviced or repaired within 30 days.”].) Because section 1793.2(b)’s duty is triggered by a nonconformity to “the applicable express warranties,” the 30-day period runs on a covered nonconformity presented during the warranty period; post-warranty out-of-service time cannot supply the missing days.

The undisputed evidence shows that during the Powertrain Warranty period, the Vehicle was out of service for more than one day only on the February 21, 2020 visit (six days) and the January 26, 2023 visit (five days), totaling well below 30 days on any nonconformity. (DSS ¶ 14.) The 58-day out of service period on which Plaintiff relies occurred after the Powertrain Warranty expired on September 30, 2023. (DSS ¶ 4; Pl.’s Response ¶ 4; Christensen Decl. ¶ 13.) For the reasons discussed above in connection with the first cause of action, Plaintiff has not competently connected the post-warranty engine repair to any unresolved nonconformity during the warranty period. The Court GRANTS summary adjudication on the second cause of action.

d. Third Cause of Action – Violation of Civ. Code § 1793.2(a)(3)

Plaintiff’s third cause of action alleges that FCA failed to make available to its authorized repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period, as required by Civ. Code § 1793.2(a)(3). (Compl. ¶¶ 39–44.)

Section 1793.2(a)(3) requires the manufacturer to “make available to authorized service and repair facilities sufficient service literature and replacement parts to effect repairs during the express warranty period.” (Civ. Code § 1793.2(a)(3).) To establish a violation, a plaintiff must identify the specific literature or part the manufacturer failed to make available; the claim cannot rest on the inference that, because a repair was unsuccessful or a nonconformity later recurred, literature or parts must have been missing. (*Ladanowsky v. FCA US LLC* (N.D. Cal. Dec. 30, 2024) 2024 WL 5433709, at *3 [insufficient literature and parts is “a possible explanation among many other possible explanations for why [the manufacturer’s] dealership could not allegedly repair the vehicle”; conclusory allegations tracking the statute are insufficient].)

Plaintiff produces no evidence identifying any specific service literature or replacement part that FCA failed to make available to its authorized repair facilities during the warranty period. The repair records establish that each time the Vehicle was presented, the dealership performed a diagnosis and completed the indicated repair with the parts and information necessary—the water pump and coolant in February 2020 (Christensen Decl. ¶ 9; Wang Decl. ¶ 6, Ex. G), the goodwill battery replacement in January 2022 (DSS ¶¶ 9–10; Christensen Decl. ¶ 10), and the battery replacement in January 2023 (DSS ¶¶ 12–13; Christensen Decl. ¶ 11). Plaintiff’s section 1793.2(a)(3) theory rides entirely on the same inference foreclosed above: that a shared underlying Engine Defect went unaddressed during warranty. Absent evidence of a specific literature or parts failure, no triable issue exists. The Court GRANTS summary adjudication on the third cause of action.

e. Fourth Cause of Action – Breach of Implied Warranty of Merchantability

Plaintiff's fourth cause of action alleges that the Vehicle was sold with one or more latent defects and was not fit for the ordinary purposes for which such goods are used, in breach of the implied warranty of merchantability under Civ. Code §§ 1791.1, 1792, and 1794. (Compl. ¶¶ 54–56.) The duration of the implied warranty of merchantability is coextensive with the express warranty, but “in no event shall such implied warranty have a duration of . . . more than one year following the sale of new consumer goods to a retail buyer.” (Civ. Code § 1791.1(c).) On this record, the implied warranty ran from September 30, 2018 to September 30, 2019. (DSS ¶ 3; Pl.'s Response ¶ 3.)

An implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale. (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1304.) But to prevail, a plaintiff must show that the defect existed during the duration of the warranty, even if the latent defect was discovered at a later time. (*Id.* at 1309–10.)

Plaintiff's proof that a defect existed within year one rests entirely on his declaration that he “believe[s] that some or all of these issues existed within the Vehicle during [his] first year owning it.” (Christensen Decl. ¶ 14.) The first documented presentation of any engine related symptom occurred on February 21, 2020, at 13,352 miles, more than four months after the implied warranty expired on September 30, 2019. (DSS ¶¶ 6–7.) Plaintiff offers no repair order, no contemporaneous complaint, no diagnostic finding, and no expert opinion tracing the May 2024 internal engine damage or any other condition back to the first year of ownership. Whether an unobserved mechanical or electronic condition manifesting years later was in fact present within the Vehicle during the one-year implied warranty period is a technical question of causation and origin that lies outside the common knowledge of laymen and requires competent expert opinion evidence. (*Miller, supra*, 8 Cal.3d at 702.) A lay opinion that an unobserved technical defect existed at some earlier time lacks foundation and is not substantial evidence of when a latent defect first arose. Plaintiff's subjective belief, unsupported by expert testimony or contemporaneous evidence, is insufficient to create a triable issue on whether a latent defect rendered the Vehicle unmerchantable during the one-year implied warranty period. (*Buehler, supra*, 224 Cal.App.3d at 733–34.) The Court GRANTS summary adjudication on the fourth cause of action.

3. Fraudulent Inducement – Concealment (Sixth Cause of Action)

FCA moves for summary adjudication on Plaintiff's sixth cause of action for fraudulent inducement by concealment on three independent grounds: (1) the claim is barred by the economic loss rule; (2) Plaintiff cannot establish a duty to disclose in the absence of a direct transactional relationship between Plaintiff and FCA; and (3) Plaintiff cannot establish FCA's exclusive knowledge of, or intentional concealment of, the alleged Engine Defect.

a. Elements of Fraudulent Concealment

The elements of a cause of action for fraud based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4)

the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage. (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 310–11.)

There are four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts. (*LiMandri v. Judkins* (1997) 52 Cal.App.4th 326, 336.)

b. Economic Loss Rule

In *Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, the California Supreme Court addressed whether a plaintiff may assert a fraudulent concealment claim arising from or related to the performance of a contract. The Court held that “[a] plaintiff may assert a fraudulent concealment cause of action based on conduct occurring in the course of a contractual relationship if the elements of the claim can be established independently of the parties’ contractual rights and obligations, and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the contract.” (*Id.* at 2, 20–21.)

The economic loss rule generally bars tort recovery for purely economic losses arising from contractual relationships. “The economic loss rule requires a [contractual party] to recover in contract for purely economic loss due to disappointed expectations, unless [the party] can demonstrate harm above and beyond a broken contractual promise.” (*Id.* at 20 [internal quotation omitted].) Under *Rattagan*, two conditions must be satisfied. “A plaintiff must first demonstrate the defendant’s injury-causing conduct violated a duty that is independent of the duties and rights assumed by the parties when they entered the contract. Second, the defendant’s conduct must have caused injury to persons or property that was not reasonably contemplated by the parties when the contract was formed.” (*Id.* at 20–21.)

Here, Plaintiff purchased the Vehicle on September 30, 2018, from Moss, an authorized FCA dealership. (DSS ¶ 1). In connection with the purchase, FCA issued express warranties covering the Vehicle. (*Id.* at ¶ 2.) Plaintiff’s Complaint alleges that FCA fraudulently concealed the alleged Engine Defect at the time of sale, and seeks damages for the diminished value of the Vehicle, the cost of repairs, and other financial losses associated with the Vehicle’s alleged defects. (*Id.* at ¶¶ 70–78.)

Plaintiff alleges that had he been aware of the Engine Defect, “had Defendant disclosed to me the true nature of the problems in the Subject Vehicle—including the Vehicle model’s known tendency to possess engine defects—I would not have purchased the Subject Vehicle.” (Christensen Decl. ¶ 7; Compl. ¶¶ 68–69.) He seeks damages for consequential and incidental damages and diminution in value. (Compl., Prayer for Relief ¶¶ c, d.) These are purely economic damages—the lost benefit of the bargain, repair costs, and diminished value—precisely the types of damages the economic loss rule is designed to channel into contract remedies.

Plaintiff contends that the fraudulent concealment claim survives *Rattagan* because FCA's presale concealment of the Engine Defect is independent of the post-sale warranty obligations and exposes Plaintiff to safety risks beyond those reasonably contemplated in the warranty contract. Plaintiff points to two categories of evidence.

First, Plaintiff relies on NHTSA Recall No. 18V-524, which FCA submitted to NHTSA on August 9, 2018, approximately seven weeks before Plaintiff's September 30, 2018 purchase. (Fuchs Decl. ¶¶ 7–8, Exs. 1–2; PAMF ¶¶ 4–5.) The recall covers certain 2017–2019 model-year vehicles across 16 vehicle families, including 2018 Jeep Wranglers equipped with the 2.0L engine, built between August 30, 2017 and June 27, 2018, and warns that “[a]n engine stall while driving resulting in a loss of motive power can cause vehicle crash without prior warning.” (Fuchs Decl. ¶ 7, Ex. 1 at pp. 1–2.) FCA's own dealer service instructions reflect that its Vehicle Safety and Regulatory Compliance organization received reports of powertrain controller failures as early as June 8, 2018, and that by August 2, 2018, 151 vehicles had already had their powertrain controllers replaced, 29 of them specifically for stall-while-driving incidents. (*Id.* at ¶ 8, Ex. 2.)

Second, Plaintiff declares that before purchasing the Vehicle he spoke with an FCA representative at the dealership who told him the Vehicle's engine and transmission were reliable, and that neither the representative nor FCA's online representations disclosed the model's known engine problems. (Christensen Decl. ¶¶ 5–7.) Plaintiff further declares that had FCA disclosed the Vehicle model's tendency to possess engine defects, he would not have purchased the Vehicle. (*Id.* at ¶ 7.)

Applying *Rattagan*'s two-prong framework to the record here, Plaintiff has not raised a triable issue sufficient to defeat summary adjudication on the fraudulent concealment claim. As to the first *Rattagan* prong—whether the alleged fraud is independent of the contractual relationship—the warranty contract itself contemplates that a new vehicle may experience defects during the warranty period and allocates the risk of such defects through the warranty repair and replacement provisions. FCA's warranties promise to repair defects in material and workmanship; they do not promise a defect-free vehicle. The alleged concealment, that FCA knew of Engine Defects but failed to disclose them pre-sale, relates directly to the quality and condition of the goods sold, which is the subject matter of the warranty contract. The warranty is the parties' agreement about what happens when defects arise.

Under *Rattagan*, a plaintiff may assert a fraudulent concealment cause of action based on conduct occurring in the course of a contractual relationship only if the elements of the claim can be established independently of the parties' contractual rights and obligations. (*Rattagan, supra*, 17 Cal.5th at 20.) When “the alleged breach is based on a failure to perform as the contract provides, and the parties reasonably anticipated and allocated the risks associated with the breach, the cause of action will generally sound only in contract because a breach deprives an injured party of a benefit it bargained for.” (*Id.* at 27.) Plaintiff's claim here is that FCA sold him a vehicle with a known defect and failed to disclose it. This is fundamentally a claim that the Vehicle was not as warranted, that it had defects FCA knew about but did not disclose. The contractual relationship and the warranties issued in connection with the sale govern this dispute.

As to the second *Rattagan* prong—whether the alleged fraud exposes Plaintiff to risks beyond those reasonably contemplated—the warranty contract expressly contemplates that the Vehicle may require repairs during the warranty period and provides the remedy: repair or replacement. The risk that a vehicle may have defects requiring repair is the very risk the warranty addresses. Plaintiff points to safety risks (stalling while driving, engine failure), but these are the types of risks inherent in any defective vehicle and are the reason manufacturers provide warranties in the first place. The warranty does not contemplate only minor, inconsequential defects; it covers any defects in material and workmanship, including those that may affect safety. Where the harm at issue “was anticipated and the risk allocated, the conduct causing it would not support an independent tort claim.” (*Rattagan, supra*, 17 Cal.5th at 26, fn. 7.) In such circumstances, the resulting action is “‘ex contractu’ or ‘aris[ing] from a breach of a promise set forth in the contract,’” not an independent tort. (*Id.* at 42.)

Moreover, Plaintiff’s damages are purely economic. He seeks the diminished value of the Vehicle, repair costs, and other financial losses. (Compl., Prayer for Relief ¶¶ b–d.) He does not allege he suffered personal injury or property damage beyond the Vehicle itself. Under *Rattagan*, “the economic loss doctrine applies when the parties have entered into a contract; the plaintiff sues for tort damages, alleging defendant failed to perform as the contract requires; and negligently caused economic losses flowing from the breach. In such a case, plaintiffs are generally limited to recovery of those economic damages and cannot seek to expand their remedies beyond those available in contract.” (*Rattagan, supra*, 17 Cal.5th at 44.)

c. Duty to Disclose/Direct Transactional Relationship

Even if the economic loss rule did not bar the claim, Plaintiff cannot establish a duty to disclose. In *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, the Court of Appeal reversed a jury verdict on an intentional concealment claim against a medical device manufacturer where there was no direct transactional relationship between the manufacturer and the plaintiff. (*Id.* at 311–12.)

Here, Plaintiff purchased the Vehicle from Moss, an authorized FCA dealership, not from FCA directly. (DSS ¶ 1). FCA was not a party to the retail sales transaction. While FCA issued warranties in connection with the sale, the mere issuance of a warranty does not create the type of direct transactional relationship required to impose a tort duty to disclose. Plaintiff points to his conversation with FCA’s representative at the dealership, but he does not identify this person by name, does not establish the representative’s authority to speak for FCA, and does not distinguish between statements by a dealership employee and statements by an FCA employee. (Christensen Decl. ¶¶ 6–7.) The dealership representative’s general statement that the Vehicle and its engine were reliable is the type of nonactionable puffery that does not give rise to tort liability.

d. Exclusive Knowledge and Active Concealment

Finally, even assuming a duty to disclose could be established, Plaintiff has not raised a triable issue as to FCA’s exclusive knowledge of, or active concealment of, the specific Engine Defect affecting the Vehicle.

The recall evidence shows that FCA issued Recall No. 18V-524 covering certain 2018 Jeep Wranglers with a PCM defect. (Fuchs Decl. ¶ 7, Ex. 1.) However, Plaintiff presents no evidence that (1) the Vehicle was within the recall population; (2) the Vehicle was manufactured within the August 30, 2017 to June 27, 2018 production range; (3) the Vehicle was subject to the stop-sale; (4) the Vehicle remained unremedied at delivery; or (5) the Vehicle ever exhibited the PCM defect described in the recall.

More fundamentally, the PCM defect described in Recall No. 18V-524—a voltage regulator chip failure causing immediate no-start or stall conditions—is distinct from the Engine Defect Plaintiff pleads in his Complaint: overheating, loss of power, stalling, rough engine operation, engine misfires, loss of vehicle control, and vehicle fire risk. (Compl. ¶¶ 19–20.) The May 2024 catastrophic failure involved a blocked cylinder head, scored cylinder walls, and abnormal piston movement caused by overheating, mechanical damage to the engine’s internal components, not an electronic PCM failure.

Plaintiff has not established that FCA had knowledge of the specific overheating and internal engine defect that ultimately manifested in the Vehicle. A recall covering a different defect (PCM) in a subset of vehicles from the same model year, without VIN-specific evidence that this Vehicle was affected, is insufficient to establish exclusive knowledge of the alleged Engine Defect in this particular Vehicle.

Accordingly, the Court GRANTS summary adjudication on the sixth cause of action.

4. Statute of Limitations

Even if the merits did not entitle FCA to summary adjudication, each of Plaintiff’s causes of action is independently barred by the applicable statute of limitations. Actions for breach of warranty under the Song-Beverly Act are governed by the four-year limitations period of Commercial Code § 2725. Fraud claims are subject to the three-year limitations period of CCP § 338(d). Plaintiff purchased the Vehicle on September 30, 2018. (DSS ¶ 1.) He filed his Complaint on November 12, 2024, more than six years later, past both limitations periods. (*Id.* at ¶ 15.)

Plaintiff invokes the delayed discovery rule, arguing accrual should await the May 2024 long-block failure because he did not reasonably recognize FCA’s failure to permanently repair the Vehicle until then. That theory is inconsistent with controlling California law. In *Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, the California Supreme Court held that “the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her.” (*Id.* at 1110.) “A plaintiff need not be aware of the specific ‘facts’ necessary to establish the claim.” (*Id.* at 1111.) “Once the plaintiff has a suspicion of wrongdoing, and therefore an incentive to sue, she must decide whether to file suit or sit on her rights. So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her.” (*Id.*)

The Supreme Court reaffirmed and refined the rule in *Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797: “[U]nder the delayed discovery rule, a cause of action accrues and the statute of limitations begins to run when the plaintiff has reason to suspect an injury and some wrongful cause, unless the plaintiff pleads and proves that a

reasonable investigation at that time would not have revealed a factual basis for that particular cause of action.” (*Id.* at 803.) A plaintiff invoking delayed discovery bears the burden of pleading and proving reasonable diligence—that, despite diligent investigation of the circumstances of the injury, he could not have reasonably discovered facts supporting the cause of action within the applicable statute of limitations period. (*Id.* at 808.)

Plaintiff’s own declaration establishes inquiry notice facts well before May 2024. He experienced overheating and loss of power on February 21, 2020, resulting in a warranty water pump repair. (Christensen Decl. ¶ 9.) He experienced multiple hybrid-system trouble codes and an intermittent no-start condition on January 12, 2022, resulting in battery replacement. (*Id.* at ¶ 10; DSS ¶¶ 9–10.) And he experienced a check-engine light with a no-start condition serious enough to require jump starts on January 26, 2023, resulting in a further battery replacement. (Christensen Decl. ¶ 11; DSS ¶¶ 12–13.) By January 2023, nearly two years before the November 12, 2024 filing, Plaintiff was on inquiry notice of a suspected warranty covered defect. Under *Jolly* and *Fox*, that suspicion started the limitations clock; Plaintiff was not entitled to wait for the May 2024 catastrophic failure to confirm what he had reason to suspect years earlier. (*Jolly, supra*, 44 Cal.3d at 1110; *Fox, supra*, 35 Cal.4th at 803.) Plaintiff pleads no facts and offers no evidence of a diligent investigation that would excuse the delay. On the Song-Beverly claims (four years) and the fraud claim (three years), the November 12, 2024 filing is untimely.

The Court GRANTS summary adjudication on the first, second, third, fourth, and sixth causes of action on statute of limitations grounds.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2600364	ROJAS vs SWEEPING CORPORATION OF AMERICA, LLC	MOTION TO COMPEL DEFENDANT SWEEPING CORPORATION OF AMERICA'S RESPONSES TO FORM INTERROGATORIES, SET ONE

Tentative Ruling: No tentative ruling; the Court requests appearances, either in person or telephonically.